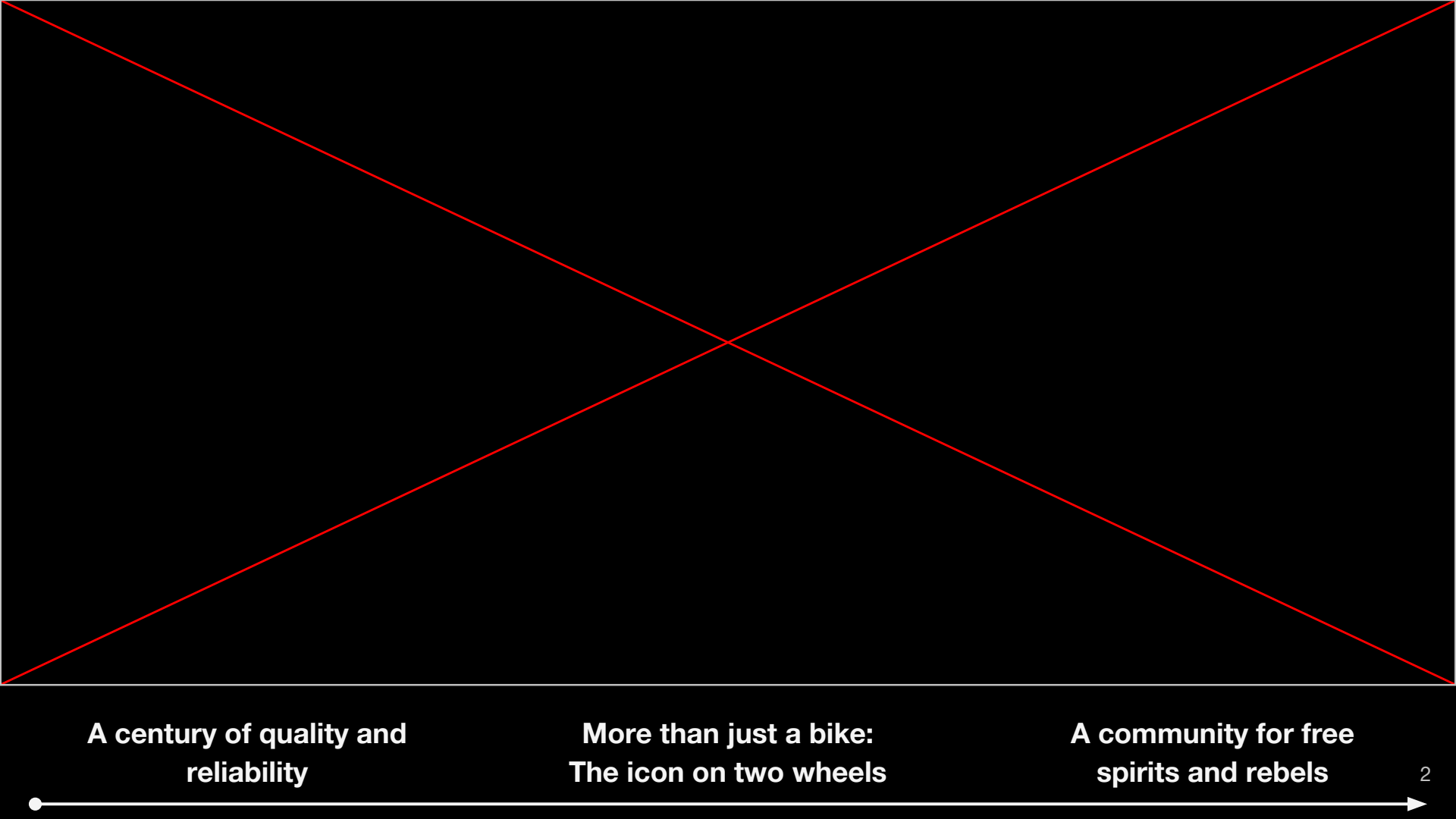


# Harley-Davidson Investment Analysis

Abdalla Mahmud, Janice Kristabella, Jessica Leason, Kelvin Nlebemchukwu,  
William Keenan, and Zidong Wang





**A century of quality and  
reliability**

**More than just a bike:  
The icon on two wheels**

**A community for free  
spirits and rebels**

# A History of Adventure



**A century of quality and  
reliability**



**More than just a bike:  
The icon on two wheels**



**A community for free  
spirits and rebels**



# Harley-Davidson is at a Turning Point; Their Historical Strengths are Their Current Barriers

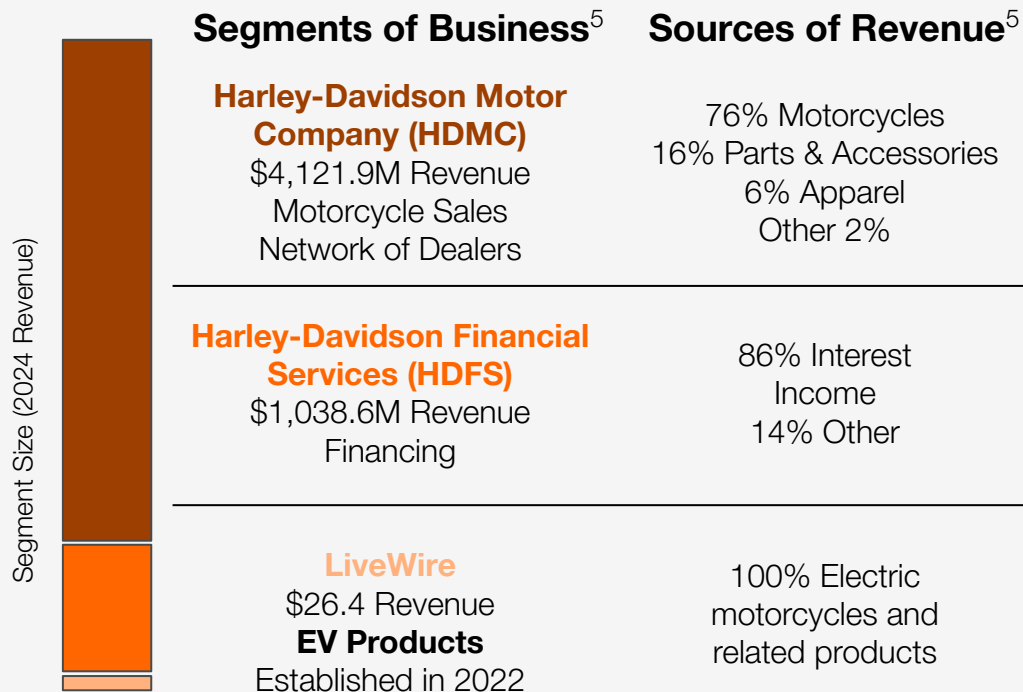
Harley-Davidson has a **loyal customer base** rooted in its deep history and tradition, that has made it recognizable brand.

**Changing market conditions, consumer demands, and leadership turnover** is raising new challenges for Harley-Davidson as it attempts to maintain its industry lead.

Harley-Davidson is a compelling candidate for investment analysis as it has many **opportunities for growth**, even as it navigates **external risk factors**.



# Harley-Davidson at a Glance



## Strategy<sup>23</sup>

**Mission:** More than building machines, the timeless pursuit of adventure

### Strategic Plan

- Profit Focus
- Market-Specific Expansion
- Lead in Electric\*
- Growth Beyond Bikes

**Challenge:** Leadership Turnover and Strategic Misalignment<sup>15</sup>

5. Harley-Davidson, Inc., \*Annual Report (Form 10-K)\*, 2025

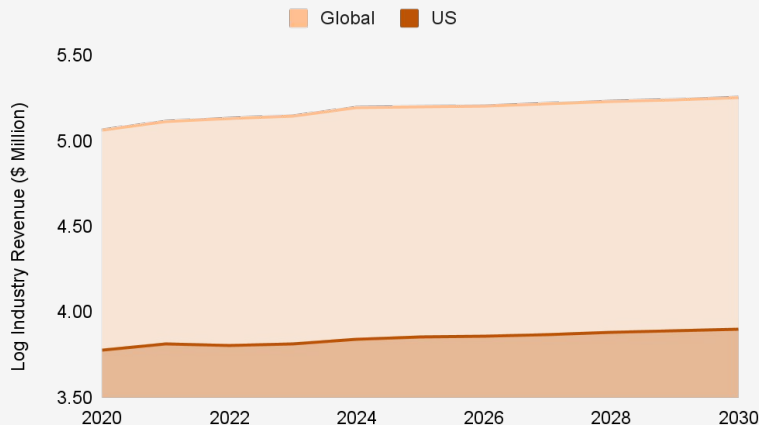
15. Smart, Ashley. "Harley-Davidson board member resigns citing 'severe underperformance' April 9, 2025.

23. "Our Strategy." Harley-Davidson.



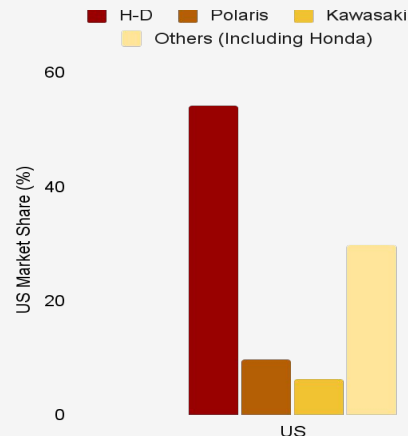
# Harley-Davidson Faces Limited Growth in a Mature Market

## Market Size From 2020 to 2030



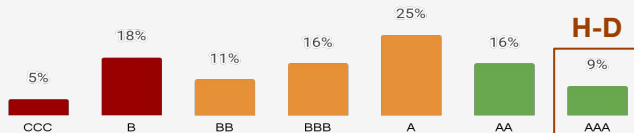
The global market<sup>16</sup> and US market<sup>17</sup> are forecast to **grow** at a CAGR of around **2.3%**.

## Market Share In US



Harley-Davidson **dominates the US market**<sup>18</sup>, though it faces mounting threats from overseas manufacturers like Honda.

## ESG snapshot<sup>14</sup>:



14. MSCI ESG Ratings Report: HARLEY-DAVIDSON, INC. (HOG), MSCI ESG Direct, 2025

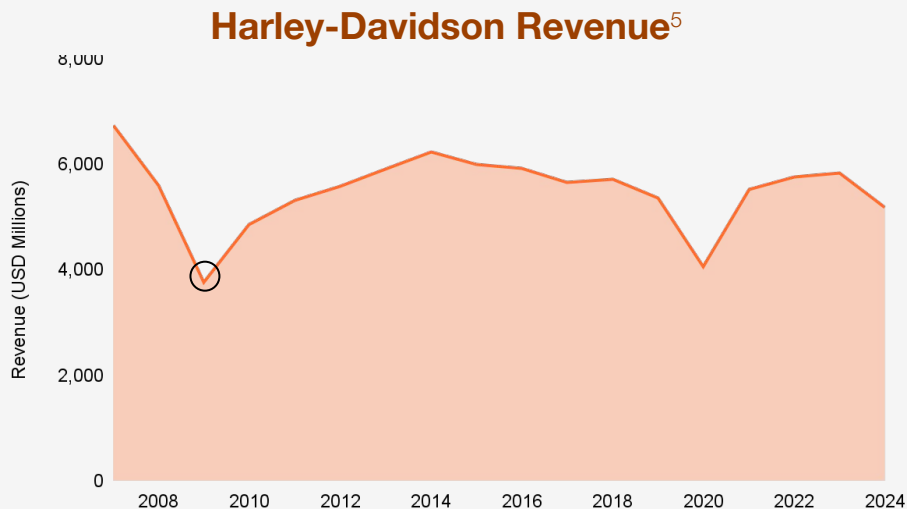
16. Revenue in the Motorcycles Market Worldwide 2014 - 2030, Statista, 2025

17. Revenue of the motorcycle market in the United States from 2018 to 2029, by segment, Statista, 2025

18. Motorcycle, Bike & Parts Manufacturing in the US, IBISWorld, 2025



# Financial Stagnation Post-2008 Crisis



| Metric <sup>5</sup> | 2022   | 2023   | 2024   |
|---------------------|--------|--------|--------|
| Revenue (USD B)     | \$5.76 | \$5.84 | \$5.19 |
| Operating Margin    | 15.8%  | 13.35% | 8.03%  |
| Return on Asset     | 6.5%   | 5.82%  | 3.83%  |
| Asset Turnover      | 0.5x   | 0.48x  | 0.44x  |
| Return on Equity    | 25.5%  | 21.73% | 14.42% |

## Harley-Davidson Underperformance

- Revenue did not recover from recession.
- EV losses, low EV revenue, and financing receivables impact performance.
- MSCI Accounting Governance Risk: High Variance, riskier than 92% of peers.<sup>13</sup>
- Organizational structure emphasizes short-termism, at a detriment to innovation.

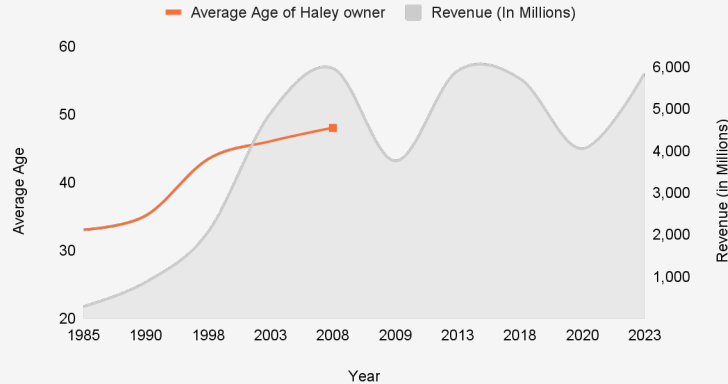
5. Harley-Davidson, Inc., \*Annual Report (Form 10-K)\*, 2025

13. MSCI Inc., \*Accounting Governance Risk (AGR) Report: Harley-Davidson, Inc.\*, 10-Q Analysis (New York: MSCI, June 30, 2025)



# Demand Trending Down & Harley's Buyer Base is Aging

## Correlation of Customer Age & Sales Revenue



Source: Reuters<sup>9</sup> and Market Mergent Atlas<sup>11</sup>

- **Demand has declined globally** as Harley's customer base shrinks as their loyal customers age, and younger buyers favor cheaper options.
- **Resulted in misalignment** between their culture and task to reach broader market segment.



Source: Hondanews<sup>22</sup>

**Younger riders prefer Honda** for being practical, reliable, and accessible, images that appeals to a broader, budget-conscious audience.

9. As Boomers Age, Harley Hunts for Younger Riders, Reuters, 2013

11. Harley-Davidson Inc. Max Historical Data Report (HOG: NYS), Mergent Market Atlas, 1985-2024

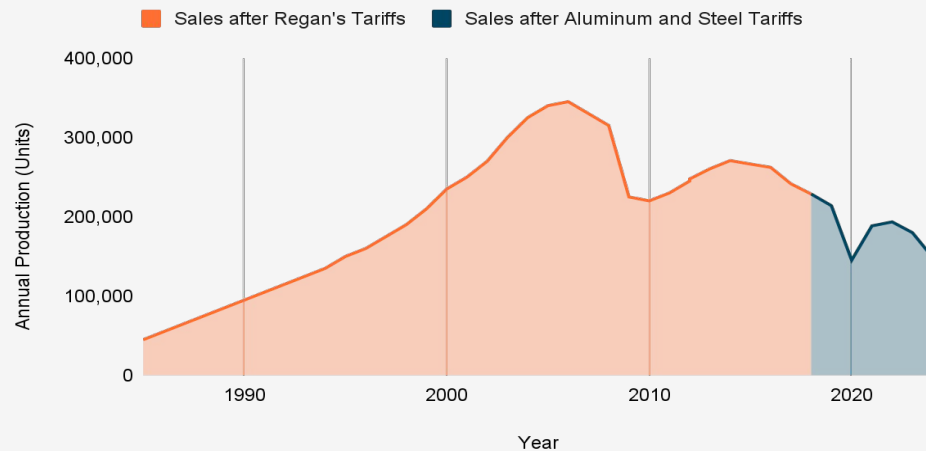
22. Honda's 1963 You Meet The Nicest People Ad, Hondanews, 2003



# Harley's Tariff Story; From Rescue to Revival

- In the 1980's Japanese bikes threatened Harley's survival. **Reagan's 45% import tariff** protected U.S. production and revived the brand.
- Harley modernized, cut costs, and reclaimed its **"Made in America" identity**.
- 2018: Tariffs returned - but this time against Harley.
- **Rising steel and aluminum costs, plus EU's 50% retaliation**, crushed margins.
- Harley **shifted production overseas**, angering loyal Harley workers and riders.

## Harley Davidson's Annual Production (Units) vs. Year



Source: Kitano & Ohashi<sup>10</sup> and Market Mergent Atlas<sup>11</sup>

5. Harley-Davidson, Inc., \*Annual Report (Form 10-K)\*, 2025

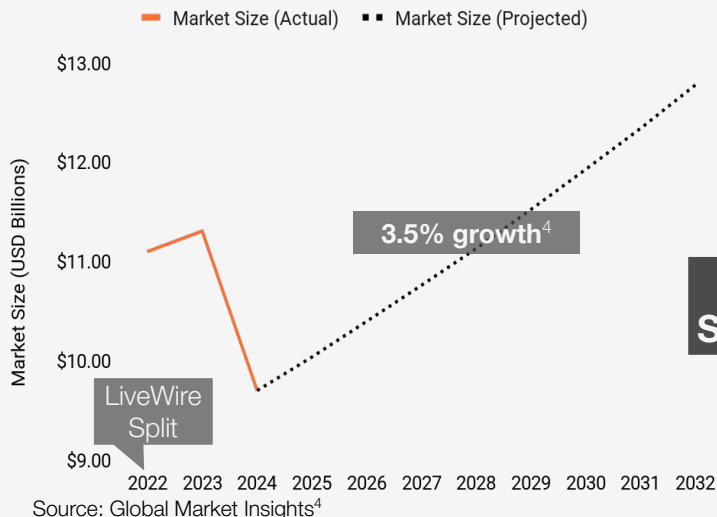
10. Kitano, Taiju, and Hiroshi Ohashi. "Did US Safeguards Resuscitate Harley-Davidson in the 1980s?" Journal of International Economics, November 2009.

11. Mergent. Harley-Davidson Inc. Max Historical Data Report (HOG: NYS), 12/31/1984–12/31/2024. Mergent Market Atlas.



# LiveWire Struggles to Realize Potential in the EV Market

## Electric Motorcycle Market Size



## LiveWire Performance

|                                     | 2023          | 2024          |
|-------------------------------------|---------------|---------------|
| MSCI Clean Tech Score <sup>14</sup> | 3.8/10        | 3.9/10        |
| Revenue <sup>5</sup>                | \$38.3M       | \$26.4M       |
| R&D Investment <sup>5</sup>         | \$54.1M       | \$41.7M       |
| Operating Margin <sup>5</sup>       | -305%         | -443%         |
| <b>Net Losses<sup>5</sup></b>       | <b>\$116M</b> | <b>\$109M</b> |

## Performance Summary

- **LiveWire is separate from Harley-Davidson.**
- **LiveWire is small** compared to strategic priorities.
- **Glassdoor reviews<sup>3</sup>** reflect conflicts between new strategy and loyal customer base:
  - “Corporate has completely lost touch with their customers.”
  - “You need to understand the culture that has evolved over 120 years. You have the most loyal fan base and have chosen to ignore it and ruin it. “

**EV adoption is accelerating to capture new customers** who are younger, sustainability-minded, or city commuters.

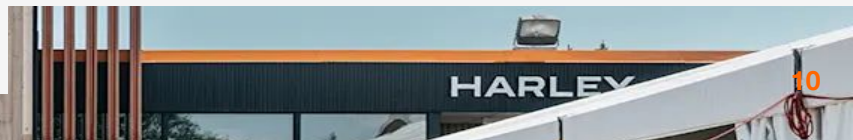
3. Designer. “Not what I expected - Designer Harley-Davidson, Inc. Employee Review.” Glassdoor, April 1, 2025.

4. Global Market Insights. Electric Motorcycle Market Size - By Motorcycle. 2024.

5. Harley-Davidson, Inc., \*Annual Report (Form 10-K)\*, 2025

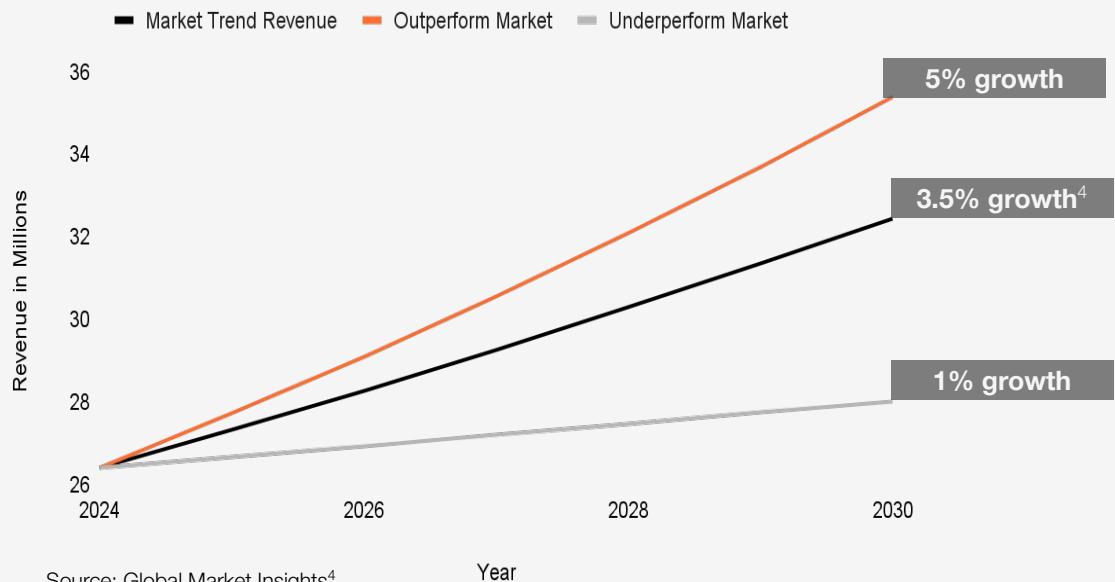
14. MSCI ESG Ratings Report: HARLEY-DAVIDSON, INC. (HOG), Automobiles 2025.

23. “Our Strategy.” Harley-Davidson.



# Scenario Projection: Electric Vehicles

## Harley-Davidson Projected EV Revenue Growth<sup>4</sup>



4. Global Market Insights. Electric Motorcycle Market Size - By Motorcycle. 2024.

5. Harley-Davidson, Inc., \*Annual Report (Form 10-K)\*, 2025

23. "Our Strategy." Harley-Davidson.

## Opportunities to Outperform

- Translate manufacturing capability to EV production
- Opportunity to leverage brand image

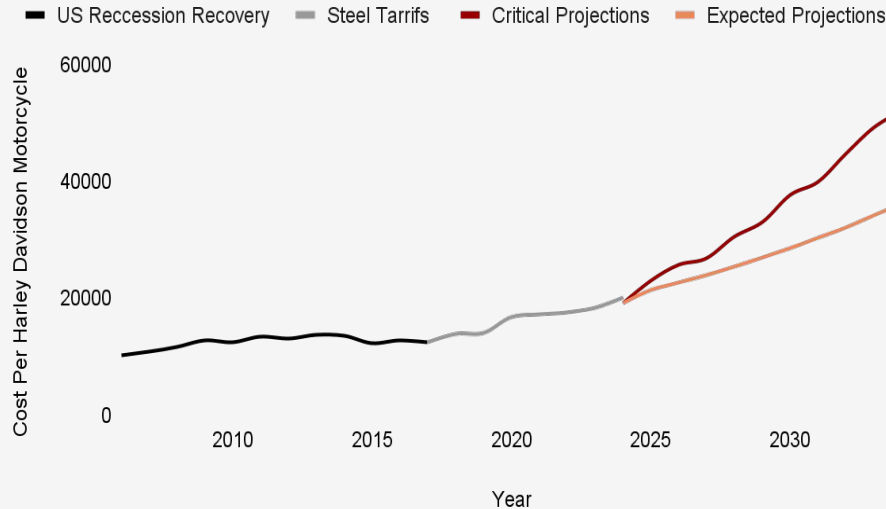
## Risk of Underperformance<sup>5</sup>

- Rapid technological and regulatory change
- Dependence on R&D to differentiate among growing competition
- Operational challenges given LiveWire is a separate company<sup>23</sup>



# Scenario Projection: Market Conditions

## Trend Analysis Cost per Harley-Davidson Motorcycle (Historical vs. Forecasted)<sup>11</sup>



5. Harley-Davidson, Inc., \*Annual Report (Form 10-K)\*, 2025

11. Mergent. Harley-Davidson Inc. Max Historical Data Report (HOG: NYS), 12/31/1984–12/31/2024.

Mergent Market Atlas. Accessed October 11, 2025.

### Risk to Harley's Supply Chain<sup>5</sup>

- Global Political and Regulatory Conditions
- Global Material Dependence on Steel and Aluminum
- The reliability of Harley Davidson's suppliers and logistic partners

### Opportunities to Advance Harley's Supply Chain<sup>5</sup>

- Economies of scale
- Expanding Production Regions
- Offering More Products



## Next Steps

**Redefining the Ride**

**People & Culture –  
Preserving the  
Harley Spirit**

**Integrating  
Innovation**

**Expanding Revenue  
through HDFS**



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## Appendix